



ROMESH K. AGGARWAL & ASSOCIATES

CHARTERED ACCOUNTANTS

Head Office - G.T. ROAD, MILLER GANJ, LUDHIANA-141003
Delhi Chandigarh Ludhiana

Phones: 2532920, 2534289.

INDEPENDENT AUDITOR'S REPORT

To The Members of Forge Mach Auto Private Limited

Report on the audit of Financial Statements

Opinion

We have audited the accompanying financial statements of **Forge Mach Auto Private Limited** ("the Company"), which comprise the Balance Sheet as at March 31, 2023, and the Statement of Profit and Loss and the Statement of Cash Flows for the year then ended and a summary of the significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, aforesaid financial statements give the information required by Companies Act, 2013 ('Act') in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2023, its profit and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the standards on auditing specified under section 143 (10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the code of ethics issued by the Institute of Chartered Accountants of India ('ICAI') together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the code of ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the financial statements.

Other Information

The Company's Management board of directors are responsible for the preparation of the other information. The other information comprises the information included in the Company's Directors' Report but does not include the financial statements and our auditor's report thereon.



Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Management's and Board of Directors' Responsibilities for the financial statements

The Company's Management and Board of directors are responsible for the matters stated in section 134 (5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management and board of directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the board of directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The boards of directors are also responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and



obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's and Board of Directors use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.



Report on Other Legal and Regulatory Requirements

The Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, is not applicable to the Company.

1. (A) As required by Section 143(3) of the Act, based on our audit we report that:

- a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
- b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
- c) The Balance Sheet, the Statement of Profit and Loss and the Statement of Cash Flow dealt with by this Report are in agreement with the books of account.
- d) In our opinion, the aforesaid financial statements comply with the accounting standards specified under section 133 of the Act, read with rule 7 of the **Companies (Accounts) Rules, 2014**;
- e) On the basis of the written representations received from the directors as on March 31, 2023 taken on record by the board of directors, none of the directors is disqualified as on March 31, 2023 from being appointed as a director in terms of Section 164 (2) of the Act;
- f) Reporting of internal financial controls over financial reporting is not applicable to the Company.

(B) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:

- a) The Company does not have any pending litigations which would impact its financial position.
- b) The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
- c) There are no amounts, required to be transferred, to the Investor-Education and Protection Fund by the Company.
- d) The Management has represented that, to the best of its knowledge and belief,
 - (i) no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other persons or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall,



directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever ("Ultimate Beneficiaries") by or on behalf of the Company or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(ii) no funds have been received by the Company from any persons or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever ("Ultimate Beneficiaries") by or on behalf of the Funding Parties or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(iii) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e) contain any material misstatement.

e) The company has not declared any dividend during the current year.

f) As proviso to rule 3(1) of the Companies (Accounts) Rules, 2014 is applicable to the Company only with effect from 01/04/2023, reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 is not applicable.

(C) With respect to the matter to be included in the Auditors' Report under section 197(16) of the Act:

In our opinion and according to the information and explanations given to us, the remuneration paid by the Company to its directors during the current year is in accordance with the provisions of section 197 of the Act. The remuneration paid to any director is not in excess of the limits laid down under section 197 of the Act. The Ministry of Corporate Affairs has not prescribed other details under section 197(16) of the Act which are required to be commented upon by us.

For Romesh K Aggarwal & Associates

Chartered Accountants

FRN - 000711N

Ruchir Singla

Partner

M. No. 519347

Place - Ludhiana

Dated - 17/08/2023

UDIN - 23519347BGXRSS7829

Forge Mach Auto Private Limited
Balance Sheet as at 31st March, 2023
(All amounts in Lacs unless otherwise stated)

Particulars	Note	As at 31st March, 2023
I EQUITY AND LIABILITIES		
(1) Shareholders' Funds		
(a) Share Capital	2	100.00
(b) Reserves & Surplus	3	(3.38)
(2) Non-Current Liabilities		
(a) Long-Term Borrowings	4	353.50
(b) Deferred Tax Liabilities		-
(c) Other Long-Term Liabilities		-
(d) Long Term Provisions		-
(3) Current Liabilities		
(a) Short Term Borrowings		-
(b) Trade payables	5	0.93
(c) Other Current Liabilities	6	3.56
(d) Short Term Provisions		-
Total		454.61
II ASSETS		
(1) Non-Current Assets		
(a) Property, Plant & Equipment and Intangible Assets		
(i) Property Plant and Equipment	7	421.03
(ii) Capital work-in-progress	7	4.32
(b) Non Current Investments		-
(c) Deferred Tax Assets		-
(d) Long term Loans and Advances		-
(e) Other Non-Current Assets	8	1.66
(2) Current Assets		
(a) Current Investments		-
(b) Inventory		-
(c) Trade Receivables		-
(d) Cash and Cash Equivalents	9	3.16
(e) Short-Term Loans and Advances	10	24.13
(f) Other Current Assets	11	0.31
Total		454.61

As per our Audit Report of Even Date.
For Romesh K Aggarwal & Associates
Chartered Accountants.
F.R.No. 000711N



For Forge Mach Auto Private Limited

Siddharth Mittal

Siddharth Mittal
Director
DIN: 09673842
Place : Ludhiana
Dated : 17/08/2023

Rohit Gupta

Rohit Gupta
Director
DIN: 09673893
Place : Ludhiana
Dated : 17/08/2023

Forge Mach Auto Private Limited
Statement of Profit and Loss for the year ended 31st March, 2023
(All amounts in Lacs unless otherwise stated)

Particulars	Note	As at 31st March, 2023
I REVENUE:		-
(a) Revenue from Operations	12	0.23
(b) Other Income		
Total Income (I + II)		0.23
II EXPENSES:		-
(a) Purchase of Stock-in-Trade		-
(b) Change in Stock in trade		-
(c) Employee benefit expenses	13	0.23
(d) Finance Cost		-
(e) Depreciation	14	3.38
(f) Other Expenses		
Total Expenses		3.61
III Profit before exceptional and extraordinary items and tax (III - IV)		(3.38)
IV Exceptional & Extraordinary Items		-
V Profit before Tax		(3.38)
VI Tax Expense:		-
Current tax		-
Deferred tax		
VII Profit for the year		(3.38)
VIII Earning per equity share [Normal value per share Rs. 10]		-
Basic and diluted (including extraordinary and prior period items)		(0.34)
Basic and diluted (including extraordinary and prior period items)		(0.34)

As per our Audit Report of Even Date.
For Romesh K Aggarwal & Associates
Chartered Accountants.
F.R.No. 000711N


Ruchir Singla
Partner
M.No: 519347
Place: Ludhiana
Dated: 17/08/2023
UDIN: 23519347BGXRSS7829

For Forge Mach Auto Private Limited


Siddharth Mittal
Director
DIN: 09673842
Place: Ludhiana
Dated: 17/08/2023


Rohit Gupta
Director
DIN: 09673893
Place: Ludhiana
Dated: 17/08/2023

Forge Mach Auto Private Limited

Notes to Financial Statements for the year ended on March 31, 2023

Company Information

Forge Mach Auto Private Limited (the company) is a private company domiciled in India and incorporated under the provisions of the Companies Act, 2013. The Company is engaged in the business of manufacturing Auto parts. The Company is selling its products in domestic markets.

1 Basis of preparation

The financial statements of the Company have been prepared in accordance with the generally accepted accounting principles in India (Indian GAAP). The Company has prepared these financial statements to comply with all material respects with the accounting standards notified under section 133 of the Companies Act, 2013, read together with paragraph 7 of the Companies (Accounts) Rules, 2014 as amended. The financial statements have been prepared on an accrual basis and under the historical cost convention.

1.1 Summary of significant accounting policies

A Use of estimates

The preparation of financial statements in conformity with Indian GAAP requires the management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the end of the reporting period. Although these estimates are based on the management's best knowledge of current events and actions, uncertainty about these assumptions and estimates could result in the outcomes requiring a material adjustment to the carrying amounts of assets or liabilities in future periods. Changes in estimates are reflected in the financial statements in the period in which changes are made and if material, their effects are disclosed in notes to accounts.

B Property, plant and equipment

Property, plant and equipment, capital work in progress are stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. The cost comprises purchase price, borrowing costs if capitalization criteria are met, directly attributable cost of bringing the asset to its working condition for the intended use and initial estimate of decommissioning, restoring and similar liabilities. Any trade discounts and rebates are deducted in arriving at the purchase price.

When significant parts of plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in statement of profit or loss as incurred.

Items of stores and spares that meet the definition of plant, property and equipment are capitalized at cost and depreciated over their useful life. Otherwise, such items are classified as inventories.

Gains or losses arising from derecognition of plant, property and equipment are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the statement of profit and loss when the asset is derecognized.

Gains or losses arising from derecognition of plant, property and equipment are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the statement of profit and loss when the asset is derecognized.

C Depreciation on property, plant and equipment

Depreciation on property, plant and equipment is calculated on a straight-line basis using the rates arrived at, based on the useful lives estimated by the management. The identified components are depreciated separately over their useful lives; the remaining components are depreciated over the life of the principal asset. The company has used the following rates to provide depreciation on its plant, property and equipment:

Particulars	Estimated indicative useful life as per Schedule II (years)	
Factory building	30	30
Building (other than factory building)	60	60
Plant and Machinery (except II below)*	15	15
Furniture and fixtures	10	10
Vehicles	8	8
Office equipment	5	5
Computer	3	3

*Depreciation is charged on Plant and Machinery on shift basis.

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

The management has estimated a useful life of rolls capitalised in plant and machinery as one years.

Rohit Gupta



Forve Mach Auto Private Limited

Notes to Financial Statements for the year ended on March 31, 2023

D Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less accumulated amortization and accumulated impairment losses, if any. Internally generated intangible assets, excluding capitalized development costs, are not capitalized and expenditure is reflected in the statement of profit and loss in the year in which the expenditure is incurred.

Intangible assets are amortized on a straight line basis over the estimated useful economic life.

Intangible Assets	Estimated Useful Life (Years)
Computer Software	Over the estimated economic useful lives i.e. 6 years.

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the statement of profit and loss when the asset is derecognized.

E Leases

Operating Lease

Where the Company is lessee

Leases, where the lessor effectively retains substantially all the risks and benefits of ownership of the leased item are classified as operating leases. Operating lease payments are recognized as an expense in the statement of profit and loss on a straight-line basis over the lease term.

F Borrowing costs

Borrowing cost includes interest, amortization of ancillary costs incurred in connection with the arrangement of borrowings.

G Impairment of fixed assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating units (CGU) net selling price and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining net selling price, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used.

Impairment losses of continuing operations, including impairment on inventories, are recognized in the statement of profit and loss. After impairment, depreciation is provided on the revised carrying amount of the asset over its remaining useful life.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the company estimates the asset's or cash-generating unit's recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the statement of profit and loss.

H Investments

Investments, which are readily realizable and intended to be held for not more than one year from the date on which such investments are made, are classified as current investments. All other investments are classified as long-term investments.

On initial recognition, all investments are measured at cost. The cost comprises purchase price and directly attributable acquisition charges such as brokerage, fees and duties. If an investment is acquired, or partly acquired, by the issue of shares or other securities, the acquisition cost is the fair value of the securities issued. If an investment is acquired in exchange for another asset, the acquisition is determined by reference to the fair value of the asset given up or by reference to the fair value of the investment acquired, whichever is more clearly evident.

Long-term investments are carried at cost. However, provision for diminution in value is made to recognize a decline other than temporary in the value of the investments. On disposal of an investment, the difference between its carrying amount and net disposal proceeds is charged or credited to the statement of profit and loss.

I Inventories

Inventories are valued as follows:

Raw materials and components,
Stores and spares (including packing
materials)

Lower of cost and net realizable value. However, materials and other items held for use in the production of inventories are not written down below cost if the finished products in which they will be incorporated are expected to be sold at or above cost. Cost is determined on a first in first out (FIFO) cost method plus direct expenses. Stores and spares which do not meet the definition of plant, property and equipment are accounted as inventories.

Finished goods, Traded Goods and
Work-in-progress

Lower of cost and net realizable value. Cost of Finished goods and Work-in-progress includes direct materials, labour and a proportion of manufacturing overheads based on normal operating capacity. Cost is determined on First in first out.

Scrap

At net realizable value.

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and to make the sale.



Forge Mach Auto Private Limited

Notes to Financial Statements for the year ended on March 31, 2023

J Revenue recognition and other income

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognized:

(i) Sale of goods

Revenue from sale of Goods is recognized when the significant risks and rewards of ownership of the goods have passed to the buyer usually on delivery of Goods to the customer. The Company collects goods and service tax (GST), on behalf of the government and, therefore, these are not economic benefits flowing to the Company. Hence, they are excluded from revenue.

(ii) Business Support Services

Income from business support services are recognized on delivery of services in terms of the agreement

(iii) Interest

Interest income is recognized on a time proportion basis taking into account the amount outstanding and the applicable interest rate. Interest income is included under the head "other income" in the statement of profit and loss.

(iv) Dividends

Dividend income is recognized when the company's right to receive dividend is established by the reporting date.

(v) Export incentives

Export incentives are recognized in the statement of profit and loss when the right to receive credit as per the terms of the scheme is established in respect of export made.

K Foreign currency translation

(i) Initial Recognition

Foreign currency transactions are recorded in the reporting currency, by applying to the foreign currency amount the exchange rate between the reporting currency and the foreign currency at the date of the transaction.

(ii) Conversion

Foreign currency monetary items are retranslated using the exchange rate prevailing at the reporting date. Non-monetary items, which are measured in terms of historical cost denominated in a foreign currency, are reported using the exchange rate at the date of the transaction. Non-monetary items, which are measured at fair value or other similar valuation denominated in a foreign currency, are translated using the exchange rate at the date when such value was determined.

(iii) Exchange differences

Rates different from those at which they were initially recorded during the year, or reported in previous financial statements, are recognized as income or as expenses in the year in which they arise.

L Retirement and other Employee Benefits

Retirement benefit in the form of provident fund is a defined contribution scheme. The company has no obligation, other than the contribution payable to the provident fund. The company recognizes contribution payable to the provident fund scheme as expenditure, when an employee renders the related service.

The company operates one defined benefit plan for its employees, viz., gratuity. The costs of providing benefits under these plans are determined on the basis of actuarial valuation at each year-end. Separate actuarial valuation is carried out for each plan using the projected unit credit method. Actuarial gains and losses for both defined benefit plans are recognized in full in the period in which they occur in the statement of profit and loss.

Accumulated leave, which is expected to be utilized within the next 12 months, is treated as short-term employee benefit. The Company measures the expected cost of such absences as the additional amount that it expects to pay as a result of the unused entitlement that has accumulated at the reporting date.

The Company treats accumulated leave expected to be carried forward beyond twelve months, as long-term employee benefit for measurement purposes. Such long-term compensated absences are provided for based on the actuarial valuation using the projected unit credit method at the year-end. Actuarial gains/losses are immediately taken to the statement of profit and loss and are not deferred. The company presents the leave as a current liability in the balance sheet, to the extent it does not have an unconditional right to defer its settlement for 12 months after the reporting date.

M Income Taxes

Tax expense comprises current and deferred tax. Current income-tax is measured at the amount expected to be paid to the tax authorities in accordance with the Income-tax Act, 1961 enacted in India. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date. Current income tax relating to items recognized directly in equity is recognized in equity and not in the statement of profit and loss.

Minimum alternate tax (MAT) paid in a year is charged to the statement of profit and loss as current tax. The company recognizes MAT credit available as an asset only to the extent that there is convincing evidence that the company will pay normal income tax during the specified period, i.e., the period for which MAT credit is allowed to be carried forward. In the year in which the company recognizes MAT credit as an asset in accordance with the Guidance Note on Accounting for Credit Available in respect of Minimum Alternative Tax under the Income-tax Act, 1961, the said asset is created by way of credit to the statement of profit and loss and shown as "MAT Credit Entitlement." The company reviews the "MAT credit entitlement" asset at each reporting date and writes down the asset to the extent the company does not have convincing evidence that it will pay normal tax during the specified period.

N Segment Reporting

Identification of segments

The Company's operations pre-dominantly relate to one business segment of manufacturing and Sale of auto parts where risk and returns are not at variance. Thus, there is no reportable segment as per Accounting Standard (AS-17) "Segment Reporting".

Segment accounting policies

The analysis of geographical segment is based on the geographical locations of the customers i.e., customers located within India and customers located outside India.



Forge Mach Auto Private Limited

Notes to Financial Statements for the year ended on March 31, 2023

O Earning per share

Basic earnings per share are calculated by dividing the net profit or loss for the period attributable to equity shareholders (after deducting preference dividends and attributable taxes) by the weighted average number of equity shares outstanding during the period.

For the purpose of calculating diluted earnings per equity share, the net profit or loss for the period attributable to equity shareholders and the weighted average number of shares outstanding during the period are adjusted for the effects of all dilutive potential equity shares.

P Provisions

A provision is recognised when an enterprise has a present obligation as a result of past event and it is probable that an outflow of resources will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Provisions are not discounted to its present value and are determined based on best management estimate required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best management estimates.

Q Contingent Liabilities

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognized because it cannot be measured reliably. The Company does not recognize a contingent liability but discloses its existence in the financial statements.

R Cash and Cash equivalents

Cash and cash equivalents in the cash flow statement comprise cash at bank and in hand and short-term investments with an original maturity of three months or less.

Rohit Gupta



Forge Mach Auto Private Limited

Notes to Financial Statements for the year ending 31st March 2023
(All amounts in Lacs unless otherwise stated)

PARTICULARS	AS AT 31.03.2023
2. Share Capital	
Authorised Share Capital	100.00
10,00,000 equity Shares of Rs 10/- each	
Issued, subscribed & paid up	
10,00,000 equity Shares of Rs 10/- each	100.00

a. Reconciliation of the number of shares outstanding at the beginning and at the end of the reporting year

	As at March 31,	
	2023	
	No.	Amount (Rs.)
Ordinary Equity Shares		
At the beginning of the period	-	-
Add: Shares Issued during the year	1,000,000.00	100.00
Less: Shares Bought back during the year	-	-
Closing No of Shares	1,000,000.00	100.00

b. Terms/rights attached to equity shares

The company has only one class of equity shares referred as Equity Shares (Ordinary) having a par value of Rs.10 per share. Each holder of ordinary equity shares is entitled to one vote per share held. The company declares and pays dividend in Indian rupees. During the year ended March 31, 2023 the amount of dividend recognised as distributions to equity share holder's was NIL. The distribution will be in proportion to the number of equity share held by the equity shareholder.

In the event of liquidation of the company, the holders of equity share will be entitled to receive the remaining assets of the company after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the equity share holders.

c. List of shareholders holding more than 5% of Paid up Equity Share Capital

	As at March 31,	
	2023	
Shareholder	No of Shares	%age
Rajan Mittal	250000	25%
Parmod Gupta	250000	25%
Siddharth Mittal	250000	25%
Rohit Gupta	250000	25%

Shares held by promoters at the end of the year 31st March 2023				% Change during the year
Sr. No.	Promoter Name	No. of Shares	% of total shares	
1	Siddharth Mittal	250000	25.00%	100
2	Rohit Gupta	250000	25.00%	100
	Total	500000		

3. RESERVES & SURPLUS

PARTICULARS	AS AT 31.03.2023
Surplus/(deficit) in the Statement of Profit and Loss	-
Balance as per last financial statements	(3.38)
Profit for the year	(3.38)
Net Surplus in the Statement of Profit and Loss	

4. Long-Term Borrowings

PARTICULARS	AS AT 31.03.2023
LONG TERM BORROWINGS	
Term Loans From Others	
Unsecured	
From Directors, Shareholders & their relatives	353.50
	353.50



Forge Mach Auto Private Limited
Notes to Financial Statements for the year ending 31st March 2023

5. Trade payables	PARTICULARS	AS AT 31.03.2023
-------------------	-------------	------------------

Total outstanding dues of micro enterprises and small enterprises	-	
Total outstanding dues of creditors other than micro enterprises and small enterprises	0.93	
		<u>0.93</u>

Trade Payables ageing schedule: As at 31st March, 2023

Particulars	Outstanding for following periods from due date of payment				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
(i) MSME	-	-	-	-	-
(ii) Others	0.93	-	-	-	0.93
(iii) Disputed dues- MSME					
(iv) Disputed dues - Others					

6. Other Current Liabilities	PARTICULARS	AS AT 31.03.2023
------------------------------	-------------	------------------

OTHER CURRENT LIABILITIES		
Statutory Dues payable	0.17	
Other Payables	3.39	
	<u>3.56</u>	

8. Other Non-Current Assets	PARTICULARS	AS AT 31.03.2023
-----------------------------	-------------	------------------

OTHER NON CURRENT ASSETS		
Preliminary Expenses to be written off	1.66	
TOTAL	<u>1.66</u>	



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Forge Mach Auto Private Limited

Notes to financial statements for the period ended March 31, 2023
(All amounts in Lacs unless otherwise stated)

note 7: Property, plant and equipments

PARTICULARS	GROSS BLOCK			DEPRECIATION		NET BLOCK			
	BALANCE AS ON 01.04.2022	ADDITION DURING THE YEAR	SALES/ TRANSFER	TOTAL	BALANCE AS ON 01.04.2021	ADJUSTMENT DURING THE YEAR	TOTAL	BALANCE AS ON 31.03.2023	BALANCE AS ON 31.03.2022
and	-	421.03	-	421.03	-	-	-	421.03	-
TOTAL:	-	421.03	-	421.03	-	-	-	421.03	-
Previous Year Figures	-								

Previous Year Figures

Additional Regulatory Information

CWIP/TAUD	Amount in CWIP for a period of 2022-23			
	Less than 1 year	1-2 years	2-3 years	More than 3 years
Projects in progress	4.32	-	-	-
Projects temporarily suspended	-	-	-	-
Total	4.32	-	-	-

Rohit Gubbas



Forge Mach Auto Private Limited

Notes to Financial Statements for the year ending 31st March 2023

9. Cash and Cash Equivalents

PARTICULARS	AS AT 31.03.2023
CASH & CASH EQUIVALENTS	
BALANCE WITH BANKS	
Hdfc Current Account	2.16
Hdfc Fixed deposit	1.00
	<u>3.16</u>

10. Short-Term Loans and Advances

PARTICULARS	AS AT 31.03.2023
(UNSECURED AND CONSIDERED GOOD)	
A) Advance To Suppliers	24.13
TOTAL	<u>24.13</u>

11. Other current assets

PARTICULARS	AS AT 31.03.2023
Gst Payable/ Receivable	0.31
	<u>0.31</u>

* This space has been intentionally left blank.*

Rohit Gupta

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Forge Mach Auto Private Limited

Notes to Financial Statements for the year ending 31st March 2023

12. Other Income	PARTICULARS	AS AT 31.03.2023
OTHER INCOME		0.23
Interest Recd Fdr		
		0.23
Total Income		

13. Finance Cost	PARTICULARS	AS AT 31.03.2023
FINANCE COSTS		
OTHER BORROWING COST		0.23
Bank Charges		0.23

14. Other Expenses	PARTICULARS	AS AT 31.03.2023
Electricity Charges		1.02
Fees and Taxes		0.51
Audit fees		0.25
Legal Expenses		0.35
Preliminary Expenses(R/Off)		0.41
Printing and Stationery		0.16
Professional Charges		0.22
Rent Paid		0.46
		3.38

Rohit Gupta



ADDITIONAL REGULATORY REQUIREMENTS:

15 Contingent Liabilities and commitment (to the extent not provided for)

(a) Capital commitment NIL

(b) Contingent liabilities

Rs. in Lacs
As at
March 31, 2023
Nil

16 The Company has not received any communication from any of its suppliers/ service providers, confirming whether or not they are registered under The Micro, Small and Medium Enterprises Development Act, 2006. In the absence of any positive confirmation from the suppliers/ service providers, the information as required to be disclosed under the Micro, Small and Medium Enterprises Development Act, 2006 could not be determined.

17 There are no Title deeds of Immovable Property not held in name of the Company.

18 The company has not revalued its Property, Plant and Equipment during the year.

19 The company has not granted any Loans or Advances in the nature of loans to promoters, directors, KMP and the related parties (as defined under Companies Act, 2013,) either severally or jointly with any other person.

20 No proceedings have been initiated or pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and the rules made thereunder.

21 No quarterly returns or statements of current assets are filed by the Company with banks or financial institutions as there are no borrowings as on 31/03/2023.

22 The company has not been declared wilful defaulter by any bank or financial Institution or other lenders.

23 Relationship with struck off companies:

Name of struck off Company	Nature of transactions with struck off Company	Balance Outstanding	Relationship with struck off	
N.A.	Investment in securities	N.A.	N.A.	N.A.
	Receivables	N.A.	N.A.	N.A.
	Payables	N.A.	N.A.	N.A.
	Shares held by struck off company	N.A.	N.A.	N.A.
	Other outstanding balances (to be specified)	N.A.	N.A.	N.A.

24 There are no charges or satisfaction yet to be registered with Registrar of Companies beyond the statutory period.

25 The company has complied with the number of layers prescribed under clause (87) of section 2 of the Act read with Companies (Restriction on number of Layers) Rules, 2017.

26 Following Ratios to be disclosed:-

Refer Ratio Sheet

- Current Ratio,
- Debt-Equity Ratio,
- Debt Service Coverage Ratio,
- Return on Equity Ratio,
- Inventory turnover ratio,
- Trade Receivables turnover ratio,
- Trade payables turnover ratio,
- Net capital turnover ratio,
- Net profit ratio,
- Return on Capital employed,
- Return on investment.

27 Utilisation of Borrowed funds and share premium:

(A) The company has not advanced or loaned or invested funds (either borrowed funds or share premium or any other sources or kind of funds) to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding (whether recorded in writing or otherwise) that the Intermediary shall

(i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or

(B) The company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the company shall

(i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or

(ii) provided any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

28 Scheme of Arrangements

No Scheme of Arrangements has been approved by the Competent Authority in terms of sections 230 to 237 of the Companies Act, 2013.

29 Related Party Disclosure

Related party disclosure is in accordance with the Accounting Standards AS-18 on "Related Party Disclosure" notified by the Companies (Accounting Standards) Rules, 2006:-

A. Name of related parties and related party relationship:

a) Key Management Personnel
Siddharth Mittal
Rohit Gupta

Director
Director

Smit Patel
Rohit Gupta

b) Relatives of Key Management Personnel
Rajan Mittal
Parmod Gupta

c) Enterprises in which Key Managerial Personnel have significant influence:
M/s Auto International



Forge Mach Auto Private Limited
Notes to Financial Statements for the year ended on March 31, 2023
(All amounts in Lacs unless otherwise stated)

Ratio Analysis	Numerator	Amount in ₹	Denominator	Amount in ₹	31-03-23
1 Current Ratio	Current Assets Inventories Sundry Debtors Cash and Bank balances Receivables/Accruals Loans and Advances Disposable Investments Any other current assets	- - 3.16 - 24.13 - 0.31 27.60	Current Liabilities Creditors for goods and services Short term loans Bank Overdraft Cash Credit Outstanding Expenses Provision for taxation Proposed dividend Unclaimed Dividend Any other current liabilities	0.93 - - - - - - 3.56 4.49	6.15
2 Debt Equity Ratio	Total Liabilities Total Debt	353.50	Shareholder's Equity Total Shareholders Equity	96.62	3.66
3 Debt Service Coverage Ratio	Net Operating Income Net Profit after tax + non-cash operating expenses like depreciation and other amortizations + Interest+other adjustments like loss on sale of fixed assets, etc.	(3.15)	Debt Service Current Debt Obligation (Interest & Lease payment+ Principal Repayment.	- Nil	
4 Return on Equity Ratio	Profit for the period Net Profit after taxes - preference dividend (if any)	(3.38)	Avg. Shareholders Equity (Beginning shareholders' equity + Ending shareholders' equity) / 2	100.00	-3.38%
5 Inventory Turnover Ratio	Cost of Goods sold (Opening Stock + Purchases) – Closing Stock	-	Average Inventory (Opening Stock + Closing Stock)/2	-	0%
6 Trade Receivables Turnover Ratio	Net Credit Sales Credit Sales	-	Average Trade Receivables (Beginning Trade Receivables + Ending Trade Receivables) / 2	-	0%
7 Trade Payables Turnover Ratio	Total Purchases Annual Net Credit Purchases	-	Average Trade Payables (Beginning Trade Payables + Ending Trade Payables) / 2	0.47	0%
8 Net Capital Turnover Ratio	Net Sales Total Sales - Sales Return	-	Average Working Capital Current Assets - Current Liabilities	23.11	0%
9 Net Profit Ratio	Net Profit Profit After Tax	(3.38)	Net Sales Sales	-	Nil
10 Return on Capital employed	EBIT Profit before Interest and Taxes	(3.15)	Capital Employed * Capital Employed = Tangible Net Worth + Total Debt + Deferred Tax Liability	450.12	-0.70%
11 Return on Investment	The difference is due to lower profits as compared to the previous year Return/Profit/Earnings		Investment **	-	NA

Rohit Gupta



c) Enterprises in which Key Managerial Personnel have significant influence:
M/s Auto International

The following table provides the total amount of transactions that have been entered into with related parties during the year:

(Rs. in Lacs)			
31st March 2023			
Particulars	Enterprises in which Key managerial personnel have significant influence	Key managerial Personnel	Relatives of Key Managerial personnel
Shares Issued			
Siddharth Mittal		25.00	
Rohit Gupta		25.00	
Rajan Mittal			25.00
Parmod Gupta			25.00
Loans Raised			
Siddharth Mittal		22.00	
Rohit Gupta		23.50	
Rajan Mittal			93.00
Parmod Gupta			90.00
Rent Paid			
M/s Auto International	0.46		
Balance payable to			
Siddharth Mittal		47.00	
Rohit Gupta		48.50	
Rajan Mittal			118.00
Parmod Gupta			115.00

30 The company has not used any borrowings from banks and financial institutions for other than the specific purpose for which it was taken as at the balance sheet date

31 The company has not traded or invested in Crypto Currency or Virtual Currency during the financial year.

32 Previous year figures have been regrouped and/or rearranged wherever necessary to conform to this year's classification.

As per our Audit Report of Even Date.
For Romesh K Aggarwal & Associates
Chartered Accountants.
F.R.No. 000711/2023

Partner
(Ruchir Singla)
M.No. 519347
Place : Ludhiana
Dated : 17/08/2023
UDIN : 23519347BGXRSS7829

For Forge Mach Auto Private Limited

Siddharth Mittal

Siddharth Mittal
Director
DIN: 09673842
Place : Ludhiana
Dated : 17/08/2023

Rohit Gupta

Rohit Gupta
Director
DIN: 09673893
Place : Ludhiana
Dated : 17/08/2023